

27.11.2024

Dear

Current Market Overview

The Indian sesame seed market has remained relatively flat due to the high cost of natural sesame seeds, which has dampened demand, particularly for hulled sesame seeds. The limited winter crop yields mean there is minimal pressure from farmers in auction centers, and whatever is offered is being sold without any significant price increases. The absence of strong demand from exporters or hulling factories has kept prices stable, while imports from Brazil, Nigeria, and Somalia continue to support the hulling industry. We do expect that once winter sets in by mid-December, the local demand in India will pick up.

Demand and Supply Dynamics

This month has seen active buying from China, primarily focusing on Nigerian sesame seeds, with some interest in Pakistani origins. This has pushed Nigerian sesame prices from USD 1200.00 pmt CFR to USD 1350-1400 pmt CFR for the Chinese market. Other major buyers, including Turkey, Vietnam, and India, have not significantly responded to this trade, indicating that we are unlikely to see a return to sub-1200 pmt levels witnessed earlier this year from West Africa. Brazil remains the most cost-effective supplier of whitish sesame seeds, with prices ranging from USD 1190-1220 pmt, although there is a risk of higher Free Fatty Acid (FFA) levels exceeding 2%.

Market Outlook

For the upcoming months, we anticipate the markets to remain range-bound. The primary activity is expected to revolve around whitish sesame seeds, which are in slightly short supply this season compared to previous years. The market for black sesame seeds is small, but there has been a notable increase in local prices due to a shortage of high-quality seeds—a small yet significant segment of the sesame trade.

The elephant in the room is the news about the Brazil sesame seeds trade to China. While this has been announced, with a large part of the shipments from origin already having taken place, there may not be any significant supply to China for now that would alter market dynamics. What happens next season will be a big question on everyone's mind.

Price Forecast

Natural Whitish Sesame Seeds: Stable due to flat demand and high prices.

Hulled Sesame Seeds: Limited demand keeping prices in check.

Black Sesame Seeds: Significant local price increase due to quality seed shortage.

Prices

Dec 2024 – Feb 2025 shipments on a fob basis, for Non EU / USA destinations are as follows :

Natural Whitish Sesame, Sortex, Min. 99.95 % purity : USD. 1725.00 pmt

Natural Black Sesame, Sortex, Min. 99.95 % purity : USD. 2950.00 pmt

Natural Bengal Black Sesame, Sortex, Min. 99.95 % purity : USD. 1255.00 pmt

Hulled Sesame, 99.95 % purity : USD. 1935.00 pmt

Hulled Sesame, 99.97 % purity : USD. 1945.00 pmt

Hulled Sesame, 99.98% purity : USD. 1960.00 pmt

Prices for EU / USA as well as for Roasted Sesame Seeds available on request.

We await your inquiries.

Regards – Sanjiv Sawla